

Ref No.: BD-ACEPM-SAMCO-LET-019

Date: Thursday, 4th of December 2025

To: SAMCO National Construction Company
Attention: Eng. Mohammed Sami Mohammed (Project Manager)

Project Name: The Big Business District

Contract/Package: Construction Works of the Civil Works for Buildings B1, B2, B3 and B4

Subject: Re-Contractor's Rejection of Variation Instruction Ref. 4 – Ground Water Tank Flanges

Reference (S):

- 1) Contractor's Letter Ref. BD-CW-SAMCO-ACE-LET-027 dated 02/12/2025
- 2) Engineer's Letter Ref. BD-ACEPM-SAMCO-LET-014 dated 26/12/2025
- 3) Contractor's Letter Ref. BD-CW-SAMCO-ACE-LET-024 dated 25/11/2025
- 4) Employers Variation Instruction Ref. BD-ACEPM-SAMCO-VI-0003

Dear Sir,

With reference to the above-mentioned subject, signed Contract and Contractor's letter Ref. (01) regarding rejection of Variation Instruction Ref. (04) dated 9 November 2025, ACEPM, in its capacity as Engineer, addresses this matter as follows:

Scope of Works, the Variation Instruction clearly requires the supply and installation of buddle flanges for the ground water tank. This scope cannot be classified as MEP works. While specifying diameter and location may be considered MEP-related, the actual supply and installation of flanges is fully integrated within the construction process of a water tank. The Civil Contractor is the party with expertise in fixing, embedding and executing such items within critical structural elements. Accordingly, the Contractor's allegation that this Variation Instruction falls outside the Contractor's scope as "MEP works" is contractually unfounded.

Contractual Obligation under Sub-Clause 13.1 [Right to Vary] expressly empowers the Engineer to initiate Variations. The Contract obligate the Contractor to execute and be bound by each Variation unless the Contractor promptly gives notice, with supporting particulars, **that the required Goods cannot be readily obtained**" The Contractor shall execute and be bound by each Variation, unless the Contractor promptly gives notice to the Engineer stating (with supporting particulars) that the Contractor cannot readily obtain the Goods required for the Variation". The Contractor's rejection is not based on this contractual exception and therefore constitutes a **breach of contract**.

Consequences of Refusal Any delays or misinterpretations arising from the Contractor's refusal are solely attributable to the Contractor. Under Sub-Clauses 8.6 [Rate of Progress], and 13.3 [Variation Procedure], you remain fully responsible for maintaining progress and executing enabling works. Continued refusal will be treated as non-compliance with lawful Engineer's instructions.

Engineer's Determination, Based on the above and under Sub-Clauses 3.5 [Determinations], the Contractor's rejection of Variation Instruction Ref. 4 is formally rejected. The Contractor is hereby instructed to immediately proceed with execution of the works described therein. Failure to comply will expose the Contractor to contractual remedies.

Furthermore, the Engineer does not accept the final paragraph of the Contractor's letter wherein the Contractor issues multiple statements, reservations, or refusals, and attempts to shift responsibility to the Employer. Such language, implications, and positions are not accepted, contradict the Contract, and does not alter the Contractor's binding obligations to comply fully with all Engineer's instructions.

This letter is issued strictly without prejudice to the Employer's rights and entitlements under the Contract. Nothing contained herein shall be construed as a waiver of any rights, remedies, or claims available to the Employer. All such rights are expressly reserved.

Yours faithfully,

ACE-PM
MOHARRAM BAKHOUM
THE BIG
Project Manager,

ACE Project Management

Attachment(s): N/A

CC:

Eng. Mostafa Gala – Owner representative

